

# Case 6: Buying the Competitor

Domain: Sales and Marketing | Decision Archetype: Merger & Acquisition | Framework: BCG Matrix

INTERNAL MEMO — CONFIDENTIAL To: Leadership Team, GoZip | From: CEO's Office | Re: Proposed Acquisition of TownRide

Team,

As discussed in Monday's strategy session, we have received board approval to explore acquiring TownRide, the local ride-hailing app operating in 6 tier-2 cities where GoZip currently has no presence.

Before we proceed to formal due diligence, I want the team's read on strategic fit. Please review the attached snapshots and come prepared to debate Thursday.

Some context: GoZip currently operates in 9 metro cities. Our growth in metros has started to plateau — we're fighting for the same riders as two larger competitors, and customer acquisition cost has doubled in 18 months. TownRide, meanwhile, has almost no competition in its 6 cities, growing steadily, though it's a much smaller business overall and has never turned a profit — its founders have kept it alive mostly through personal savings and one small investor round.

The asking price is Rs. 40 crore. That's roughly what we'd spend on 14 months of metro marketing spend at current burn rates.

Questions I want answered before Thursday:

Is TownRide actually a good strategic fit, or just a growth story on paper? Should we acquire it, try to enter those cities ourselves, or leave this market alone?

— CEO's Office

## Exhibit 1 — GoZip's Own Business Snapshot (using growth/share view)

| Business Line                    | Market Growth Rate  | GoZip's Market Share | Category      |
|----------------------------------|---------------------|----------------------|---------------|
| GoZip Metro Rides                | Low (mature market) | High                 | Cash Cow      |
| GoZip Bike Rentals (new, metros) | High                | Low                  | Question Mark |

## Exhibit 2 — TownRide Snapshot

|                                          | Detail         |
|------------------------------------------|----------------|
| Market Growth Rate (Tier-2 ride-hailing) | High — 34% YoY |

|                                               |                                                                    |
|-----------------------------------------------|--------------------------------------------------------------------|
| TownRide's Market Share (within its 6 cities) | High — 71%, low competition                                        |
| Profitability                                 | Not yet profitable                                                 |
| Category                                      | Likely a Star — high growth, high share, needs investment to scale |

## Discussion Questions

1. Should GoZip go ahead and acquire TownRide for Rs. 40 crore?
2. Is TownRide a "Star" worth investing in, or a risky bet on an unprofitable business?
3. What would you want to know before Thursday's meeting that isn't in this memo?